AI EQUITY RESEARCH October 12, 2026

Advanced Micro Devices, Inc.

AMD Technology

RATING

Outperform

PRICE

$594.24

TARGET

$607.59

MARKET CAP

$968.97B

P/E (FWD)

210.0x

P/B RATIO

5.54x

ROE

6.9%

DIV. YIELD

0.00%

52W RANGE

$188.22 - $658.52

Investment Thesis

> Advanced Micro Devices, Inc. demonstrated robust historical revenue growth with a 20.5% CAGR from 2021A to 2025A, reaching $34.6 billion in revenue and $7.3 billion in EBITDA in 2025A. The company improved its contribution margin to 49.5% and maintained a strong net cash position of -$1.1 billion in 2025A. Forecasts indicate continued revenue and margin expansion through 2028E, supported by a diversified semiconductor product portfolio.

Company Overview

Advanced Micro Devices, Inc. (AMD), founded in 1969 and headquartered in Santa Clara, California, is a prominent global player in the semiconductor industry. The company operates through two main business segments: Computing and Graphics, and Enterprise, Embedded and Semi-Custom.

In the Computing and Graphics segment, AMD designs and markets a broad portfolio of x86 microprocessors, including accelerated processing units (APUs), chipsets, and a variety of graphics processing units (GPUs). These products serve desktop and notebook PCs, with well-recognized brands such as AMD Ryzen, Ryzen PRO, Ryzen Threadripper, Threadripper PRO, AMD Athlon, Athlon PRO, AMD FX, AMD A-Series, and PRO A-Series. Discrete GPUs are sold under the AMD Radeon and AMD Embedded Radeon brands, while professional graphics solutions are offered as AMD Radeon Pro and AMD FirePro.

The Enterprise, Embedded and Semi-Custom segment focuses on server and embedded processors, custom System-on-Chip (SoC) products, and technology for leading game consoles. This segment includes high-performance accelerators for servers (Radeon Instinct, Radeon PRO V-series, AMD Instinct) and AMD EPYC microprocessors for server applications. Embedded processor solutions are marketed under brands such as AMD Athlon, AMD Geode, AMD Ryzen, AMD EPYC, AMD R-Series, and G-Series. AMD also develops chipsets under its own brand and provides tailored semi-custom SoC solutions, leveraging its expertise in CPU, GPU, and multimedia technologies.

AMD's customer base spans original equipment manufacturers (OEMs), public cloud service providers, original design manufacturers (ODMs), system integrators, independent distributors, online retailers, and add-in-board manufacturers. The company utilizes a combination of direct sales, independent distributors, and dedicated sales representatives to reach its global clientele.

Financially, AMD has demonstrated significant growth and resilience. From 2021A to 2025A, the company achieved a historical revenue compound annual growth rate (CAGR) of **20.5%**, with revenue rising from **$16.43 billion** in 2021A to **$34.64 billion** in 2025A. Contribution margin improved from **48.2%** in 2021A to **49.5%** in 2025A, while EBITDA increased from **$4.17 billion** to **$7.28 billion** over the same period. The company's EPS also grew from 2.61 in 2021A to 2.67 in 2025A. AMD maintained a strong liquidity position, with cash and cash equivalents of **$5.54 billion** and net debt of -**$1.07 billion** in 2025A.

AMD's market position is reinforced by its diverse product portfolio, strong brand recognition, and ongoing innovation across computing, graphics, and data center solutions, positioning it as a key competitor in the global semiconductor landscape.

Investment Overview

Advanced Micro Devices, Inc. (AMD) has demonstrated robust financial performance in recent years, highlighted by significant revenue growth and improving profitability. From 2021A to 2025A, AMD's revenue increased from **$16.43 billion** to **$34.64 billion**, representing a historical CAGR of **20.5%**. The company achieved a notable revenue growth of **34.3%** in 2025A, following a **13.7%** increase in 2024A and a slight decline in 2023A. Contribution margin improved to **49.5%** in 2025A, up from **48.2%** in 2021A, indicating enhanced operational efficiency. EBITDA rose to **$7.28 billion** in 2025A, with the EBITDA margin reaching **21.0%**.

AMD's growth has been driven by its diversified product portfolio across Computing and Graphics, and Enterprise, Embedded and Semi-Custom segments. The company's offerings—spanning high-performance CPUs, GPUs, and custom SoCs—have positioned it well to capture demand from data centers, gaming, and embedded markets. The strong performance in 2025A reflects AMD's ability to capitalize on these growth drivers.

Looking ahead, AMD's Financial Metrics forecast continued top-line expansion, with revenues expected to reach **$40.10 billion** by 2028E. Contribution margin is forecast to rise further, reaching **52.5%** in 2028E, while EBITDA margin is projected to improve to **42.0%**. EPS is also expected to grow, from $2.67 in 2025A to $3.18 in 2028E. These forecasts imply ongoing margin expansion and earnings growth, supported by AMD's innovation and competitive positioning.

In summary, AMD’s recent actual results underscore strong momentum, and company forecasts suggest further gains in revenue, profitability, and earnings over the next several years, driven by its leadership in high-performance computing and graphics solutions.

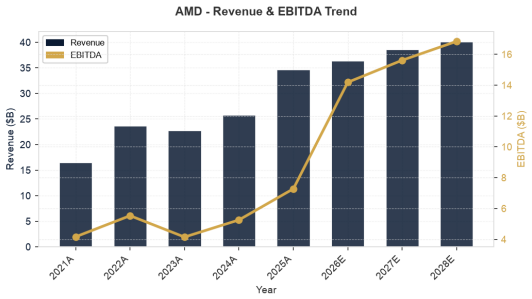
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	**$34.64B**
EBITDA (2025A)	**$7.28B**
Revenue Growth (2025A)	**34.3%**



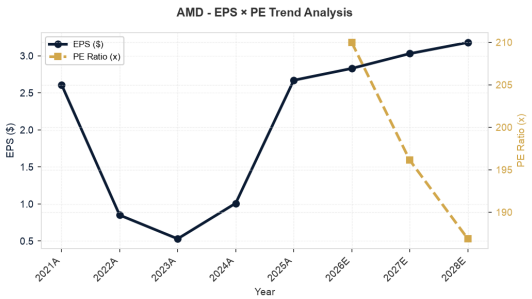
Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	**2.67**
Forward P/E (2026E)	**210.0x**



Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Valuation Analysis

Advanced Micro Devices, Inc. (AMD) has demonstrated robust historical growth, with revenue increasing from **$16.43 billion** in 2021A to **$34.64 billion** in 2025A, representing a historical CAGR of **20.5%** from 2021A to 2025A. EBITDA also grew from **$4.17 billion** in 2021A to **$7.28 billion** in 2025A. Contribution margins improved from **48.2%** in 2021A to **49.5%** in 2025A, while EBITDA margins ranged from **18.3%** in 2023A to **25.3%** in 2021A, recovering to **21.0%** in 2025A. EPS fluctuated, reaching $2.67 in 2025A.

Looking ahead, AMD's own forecasts anticipate continued revenue growth to **$40.10 billion** by 2028E, with EBITDA rising to **$16.84 billion** and EBITDA margins expanding to **42.0%** in 2028E. Contribution margins are also expected to improve, reaching **52.5%** in 2028E.

In terms of valuation, AMD's EV/EBITDA multiples have been volatile, peaking at **57.1x** in 2023A and settling at **47.8x** in 2025A. This is higher than Intel's **14.5x** and Nvidia's **33.8x** in 2025A. In 2024A, AMD's EV/EBITDA was **38.3x**, compared to Intel's **106.9x** and Nvidia's **43.5x**. These figures indicate that AMD is trading at a premium to Intel but at a higher multiple than Nvidia in some years, reflecting market expectations for superior growth and margin expansion.

Relative to peers, AMD's current valuation appears elevated, especially when compared to Intel, but is within the range of Nvidia's multiples in recent years. The premium may be justified by AMD's strong historical growth, improving profitability, and positive outlook. However, the high EV/EBITDA multiple suggests that much of the anticipated growth is already reflected in the current valuation, warranting careful monitoring of execution against forecasts to support fair value.

Target Price Derivation

Method	Target Price	Low	High	Weight	Key Assumptions
EV/EBITDA	$366.90	$333.58	$416.87	100%	EBITDA: 14184670500.0; Target Multiple: 42.1; Historical Median Multiple: 42.1
DCF	$35.85	$31.68	$41.29	100%	Base Actual FCF: 6735000000.0; Normalized FCF Margin: 11.2%; Historical FCF Margin Years: [2023, 2024, 2025]
Peer Comparison	$210.63	$126.77	$294.49	100%	Peer Avg Multiple: 24.1; Peer Range: 14.5x - 33.8x; Number of Peers: 2

WEIGHTED TARGET PRICE

$204.46

VALUATION RANGE

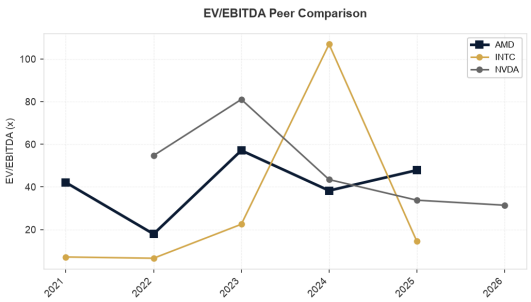
$164.01 - $250.88

IMPLIED DOWNSIDE

65.6%

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Advanced Micro Devices, Inc. (AMD) has recently experienced notable volatility in its stock price, driven by shifting sentiment in the semiconductor sector and evolving expectations around artificial intelligence (AI) demand. On October 12, 2026, AMD's stock declined by **3.41%**, with additional reports noting a **2.3%** drop, as investors reacted to a reset in AI revenue outlook and broader weakness across chipmakers. This selloff was not isolated to AMD; Nvidia and Intel also saw their shares fall, reflecting sector-wide concerns after new AI product announcements failed to reignite investor enthusiasm.

The recent decline follows a period of significant gains for AMD, with its stock up **175%** in 2026, closely mirroring Intel's **174%** rise. Despite these strong year-to-date returns, the latest pullback highlights investor anxiety about the sustainability of AI-driven growth and the risk of overvaluation in the semiconductor space. Analysts point to a "historic valuation split" between AMD and Nvidia, with some commentary suggesting that one stock may now be a safer bet than the other, though opinions remain divided.

The market's reaction underscores heightened sensitivity to changes in demand outlook for AI chips, a key growth area for AMD. While the company's fundamentals remain anchored in its diverse product lineup and strong positioning in both computing and graphics, as well as enterprise and embedded solutions, the near-term investment climate is marked by caution. Investors are weighing whether to lock in profits after the substantial rally or hold on in anticipation of renewed momentum, particularly as the competitive landscape and AI adoption trends continue to evolve.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2026E Revenue Growth: **5.0%**
- 2026E EBITDA Margin: **39.0%**
- 2027E Revenue Growth: **6.0%**
- 2027E EBITDA Margin: **40.5%**
- 2028E Revenue Growth: **4.0%**
- 2028E EBITDA Margin: **42.0%**

Scenario Ranges:

- Revenue: **$34.1B** - **$46.1B** (+/**-15%** around 2028E base forecast)
- EBITDA: **$14.3B** - **$19.4B** (+/**-15%** around 2028E base forecast)

Sensitivity Notes:

- Revenue growth sensitivity: ±**5%** change in growth rate
- Margin sensitivity: ±**2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Scenario Ranges

Revenue	$34.1B — $46.1B (+/-15% around 2028E base)
EBITDA	$14.3B — $19.4B (+/-15% around 2028E base)

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Market** (2026-10-12): AMD's $8.2 Billion World Labs Deal Could Strengthen Its AI Growth Story - Yahoo Finance
- Impact: LOW
- Source: Yahoo Finance

- Source: Yahoo Finance
- **Earnings** (2026-10-11): AMD Stock Fell 6% in Three Sessions After Its Record Close. Here's What OpenAI's $20 Billion Revenue Gap Means for the Stock - TIKR.com
- Impact: HIGH
- Source: TIKR.com
- Source: TIKR.com

Risk Factors (Downside Risks)

- **Product Launch** (2026-10-12): Nvidia and AMD shares fall as new AI announcements fail to re-energize investors - MarketWatch
- Impact: MEDIUM
- Source: MarketWatch
- **Product Launch** (2026-10-12): Nvidia and AMD Shares Fall as New AI Announcements Fail to Re-energize Investors - Moomoo
- Impact: MEDIUM
- Source: Moomoo
- **Market** (2026-10-12): SNDK, MU, INTC, AMD, SKHY: Chip Stocks Extend Slide As AI Funding Concerns, China Competition Weigh On Sector - Stocktwits
- Impact: LOW
- Source: Stocktwits

Events to Monitor

- Advanced Micro Devices (AMD) Stock Falls After AI Revenue Reset Shakes Demand Outlook - Yahoo Finance (2026-10-11)
- Source: Yahoo Finance
- Intel Is Up **174%** in 2026 and AMD Is Up **175%**: Take Profits, or Hold On for the Ride? - 24/7 Wall St. (2026-10-12)
- Source: 24/7 Wall St.
- AMD Stocks Slide **3.3%** as Supply Ambition Meets Asian Chokepoints - Yahoo Finance (2026-10-12)
- Source: Yahoo Finance

Upcoming Catalysts

▲ EARNINGS Impact: medium

AMD Stock Fell 6% in Three Sessions After Its Record Close. Here's What OpenAI's $20 Billion Revenue Gap Means for the Stock - TIKR.com

▼ PRODUCT_LAUNCH Impact: medium

Nvidia and AMD shares fall as new AI announcements fail to re-energize investors - MarketWatch

▼ PRODUCT_LAUNCH Impact: medium

Nvidia and AMD Shares Fall as New AI Announcements Fail to Re-energize Investors - Moomoo

▲ MARKET Impact: medium

AMD's $8.2 Billion World Labs Deal Could Strengthen Its AI Growth Story - Yahoo Finance

▼ MARKET Impact: medium

SNDK, MU, INTC, AMD, SKHY: Chip Stocks Extend Slide As AI Funding Concerns, China Competition Weigh On Sector - Stocktwits

Positive Catalysts

✓ AMD's $8.2 Billion World Labs Deal Could Strengthen Its AI Growth Story - Yahoo Finance

✓ AMD Stock Fell 6% in Three Sessions After Its Record Close. Here's What OpenAI's $20 Billion Revenue Gap Means for the Stock - TIKR.com

Risk Factors

⚠ Nvidia and AMD shares fall as new AI announcements fail to re-energize investors - MarketWatch

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Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **$594.24** | 52-Week Range: **$188.22 - $658.52**

Overall Technical Signal: **Bearish**

Moving Averages Bullish

SMA 50: **$531.28** | SMA 200: **$387.22**

RSI Bearish

RSI (14): **40.1** — Bearish momentum range.

MACD Bearish

MACD: **26.91** | Signal: **31.93** | Histogram: **-5.02**

Volume Normal

Latest: **15.2M** | 20d Avg: **21.7M** | Ratio: **0.70x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	$4.2B	$5.5B	$4.1B	$5.3B	$7.3B	$14.2B	$8.6B
INTC	$33.9B	$21.3B	$11.2B	$1.2B	$14.4B	-	$47.4B
NVDA	-	$11.4B	$6.0B	$35.6B	$86.1B	$144.6B	$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices, Inc. (AMD) operates as a major player in the semiconductor industry, competing directly with Intel (INTC) and NVIDIA (NVDA) across computing, graphics, and data center markets. AMD's business is diversified across two main segments: Computing and

Graphics, and Enterprise, Embedded and Semi-Custom, with a broad product portfolio spanning CPUs, GPUs, and custom SoCs for PCs, servers, and gaming consoles.

From 2021A to 2025A, AMD achieved a historical revenue CAGR of **20.5%**, reflecting strong growth momentum. In 2025A, AMD reported revenue of **$34.6 billion** and EBITDA of **$7.28 billion**. While this EBITDA is significantly lower than NVIDIA's **$86.1 billion** and Intel's **$14.4 billion** for the same year, AMD's revenue growth and margin expansion are notable. AMD's contribution margin improved from **48.2%** in 2021A to **49.5%** in 2025A, and its EBITDA margin increased from **18.3%** in 2023A to **21.0%** in 2025A, with further margin expansion forecasted through 2028E.

In terms of valuation, AMD's EV/EBITDA ratio has fluctuated, reaching **47.8x** in 2025, higher than Intel's **14.5x** and NVIDIA's **33.8x**. This suggests a premium valuation relative to Intel, though still below NVIDIA's peak multiples in earlier years. AMD's historical EBITDA has trailed both peers, but its margin trajectory and product diversification position it well for continued competitive pressure, especially as NVIDIA's dominance in data center accelerators and Intel's scale in CPUs persist.

> Overall, AMD stands out for its rapid historical growth and improving profitability, though it remains smaller in absolute scale compared to NVIDIA and Intel. Its ongoing margin improvements and broadening product reach underscore its role as a formidable challenger in the semiconductor landscape.

Risk Factors

- **Volatile Revenue Growth:** AMD's historical revenue growth has fluctuated significantly, with a decline of -3.9% in 2023A followed by a sharp rebound of 34.3% in 2025A, indicating exposure to cyclical or unpredictable demand in its markets.
- **Margin Pressure:** EBITDA margin decreased from 25.3% in 2021A to 18.3% in 2023A before partially recovering to 21.0% in 2025A, reflecting vulnerability to cost increases or pricing pressures.
- **Elevated Operating Expenses:** SG&A expenses have risen steadily, reaching $4,144 million in 2025A with a corresponding SG&A margin increase to 12.0%, which could impact profitability if not controlled.
- **Competitive Industry Dynamics:** Peer comparison shows AMD's EV/EBITDA multiples are consistently higher than Intel's and, at times, Nvidia's, suggesting heightened valuation risk and potential sensitivity to competitive shifts.
- **Rising Debt Levels:** Total debt increased from $661 million in 2021A to $4,472 million in 2025A, which may elevate financial risk if cash flows do not keep pace with debt servicing requirements.

Key Takeaways

Revenue Growth

AMD achieved strong historical revenue growth with a CAGR of **20.5%** from 2021A to 2025A, highlighted by a **34.3%** increase in 2025A. Forecasts indicate more moderate revenue growth rates of **5.0%** in 2026E, **6.0%** in 2027E, and **4.0%** in 2028E.

Gross Profit Margin

The company's contribution margin (a proxy for gross profit margin) improved from **48.2%** in 2021A to **49.5%** in 2025A, and is forecast to rise further to **50.5%** in 2026E, **51.5%** in 2027E, and **52.5%** in 2028E, reflecting ongoing margin expansion.

SG&A Expense Margin

AMD's SG&A margin increased from **8.8%** in 2021A to **12.0%** in 2025A, but is expected to decline gradually to **11.5%** in 2026E, **11.0%** in 2027E, and **10.5%** in 2028E, indicating improved operating leverage in the forecast period.

EBITDA Margin

EBITDA margin decreased from **25.3%** in 2021A to **18.3%** in 2023A, then recovered to **21.0%** in 2025A. Substantial improvement is forecast, with margins expected to reach **39.0%** in 2026E, **40.5%** in 2027E, and **42.0%** in 2028E.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	$16.4B	$23.6B	$22.7B	$25.8B	$34.6B
SG&A	$1.4B	$2.3B	$2.4B	$2.8B	$4.1B
Contribution Profit	$7.9B	$10.6B	$10.5B	$12.7B	$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	$4.2B	$5.5B	$4.1B	$5.3B	$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Operating Cash Flow Ratio	0.83	0.56	0.25	0.42	0.82

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